

Employing in Taiwan

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Labor Standards Act (LSA)
- **Monthly payroll** — salary payments in TWD, itemised payslips
- **Tax withholding** — progressive income tax withheld and remitted to the National Taxation Bureau
- **Labor Insurance, NHI & Labor Pension** — mandatory insurance and portable pension contributions
- **Leave and termination management** — notice periods, entitlements and severance guidance

Employment Conditions

Contracts & Probation

The Labor Standards Act sets minimum terms for almost all employees. There is no statutory minimum or maximum probation period — 3 months is standard, though Taiwan's LSA does not formally distinguish probation as a separate legal status; termination during this period must still meet Article 11/12 grounds.

Item	Detail	Legal Basis
Probation period	No statutory minimum/maximum; 3 months typical in practice	Employer discretion
Termination grounds	Must fall under LSA Art. 11 (no-fault) or Art. 12 (fault-based) even during probation	Labor Standards Act
Labor Pension coverage for foreign professionals	Extended to foreign professionals under 2026 updates	Labour Pension Act (2026 amendment)

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	8 hrs/day, 40 hrs/week	Labor Standards Act
Overtime premium (first 2 hrs)	133% of hourly rate	Labor Standards Act
Overtime premium (beyond 2 hrs)	166% of hourly rate	Labor Standards Act
Monthly overtime cap	46 hours/month (extendable to 54 with union/labour agreement, capped at 138 hrs/quarter)	Labor Standards Act

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Monthly minimum wage	NT\$29,500/month	Effective 1 January 2026, up from NT\$28,590
Hourly minimum wage	NT\$196/hour	Effective 1 January 2026
Labor Insurance (employer)	~8.05% of insured salary (70% of ~11.5% total)	Capped at insured salary of TWD 45,800/month
National Health Insurance (employer)	~3.1% (60% of 5.17% total, dependent multiplier applies)	Capped at TWD 313,000/month
Labor Pension (New System, employer)	6% of monthly wages (minimum)	Paid into a portable individual account

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	3–15 days/year (scales with tenure)	Employer	After 6 months' service; unused leave must be paid out at year-end
Sick Leave	Up to 30 days/year (half-pay after regular sick leave exhausted)	Employer (50% for extended illness)	Job security protections apply during medical treatment period
Maternity Leave	8 weeks	Employer (first 6 months' tenure: half pay; 6+ months: full pay)	Labor Insurance reimburses employer in most cases
Paternity Leave	7 days	Employer	Within the period surrounding the birth

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Labor Insurance (illustrative, ~8%, capped at TWD 45,800 insured salary)	\$240.00	8.00%
National Health Insurance (illustrative, ~3.1%, capped)	\$93.00	3.10%
Labor Pension (New System, 6%)	\$180.00	6.00%

Labor Pension, new system (6%)	\$ 180.00	6.00%
EOR service fee (HeroForce, Tier 2)	\$500.00	16.67%
Estimated total monthly cost	~\$4,013.00	~133.8%

HeroForce EOR service fee shown at USD \$500 per employee per month (Tier 2 pricing), no setup fee. Labor Insurance is capped at a TWD 45,800/month insured salary regardless of actual pay, so its share shrinks quickly above that level, while the Labor Pension's 6% has no such cap. Employee deductions (withheld separately) include the employee share of Labor Insurance/NHI and progressive income tax.

Income Tax (2026)

Taiwan applies progressive rates on annual comprehensive income, withheld monthly and reconciled annually.

Annual Taxable Income (TWD)	Rate
0 – 590,000	5%
590,001 – 1,330,000	12%
1,330,001 – 2,660,000	20%
2,660,001 – 4,980,000	30%
Above 4,980,000	40%

Non-resident employees (under 183 days/year in Taiwan) are withheld at a flat 18% (6% if monthly salary is below 1.5× the minimum wage, i.e. TWD 44,250 for 2026).

Termination & Separation

Notice & Severance

Length of Service	Notice Period	Legal Basis
3 months – 1 year	10 days	Labor Standards Act, Art. 16
1 – 3 years	20 days	Labor Standards Act, Art. 16
3+ years	30 days	Labor Standards Act, Art. 16

Under the New Labor Pension System (since 2005), the employer's ongoing 6% contribution substitutes for a traditional lump-sum severance for most service. Additional redundancy compensation (for LSA Art. 11 dismissals) is calculated separately.

Basis	Formula	Cap
Redundancy compensation	0.5 month's average wage per year of service	Maximum 6 months' pay
Payment in lieu of notice	Notice period (days) × daily wage	No cap

★ HERO TIP

Taiwan requires every termination to fall under a specific ground listed in LSA Article 11 (no-fault, e.g. business closure, restructuring) or Article 12 (fault-based, e.g. serious misconduct) — there is no general "at-will" or "without cause" dismissal right. Always confirm the specific statutory ground with your HeroForce EOR before issuing notice, since an invalid ground can void the termination entirely.

Public Holidays 2026

Taiwan observes 18 national holidays in 2026, blending fixed dates with lunar-calendar observances (Lunar New Year is the most significant, typically extending into a multi-day break).

Date (2026, approx.)	Holiday	Type
1 January	Founding Day of the Republic of China	National
~mid-February	Lunar New Year (multi-day break)	National (lunar calendar)
28 February	228 Peace Memorial Day	National
~April	Tomb Sweeping Day (Qingming)	National (lunar calendar)
~June	Dragon Boat Festival	National (lunar calendar)
~September/October	Mid-Autumn Festival	National (lunar calendar)
10 October	Double Tenth Day (National Day)	National

When a holiday falls on a weekend, Taiwan grants a make-up holiday on the nearest working day. Confirm the finalised Executive Yuan calendar for exact 2026 dates, released around June/August the prior year.

Ready to hire in Taiwan?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Taiwan employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$500** per employee per month, no setup fee (Tier 2).